Offer or Just an Invitation?

price tag is not a promise!

Corporate and Other Laws

In simple words *An offer can be accepted to make a contract. An invitation only asks others to make offers.*

1 Proposal (Offer)

A person shows willingness to do or not do something, to get the other's assent, and intends to be bound on that assent.

Intention to be bound is the test

2 Invitation to offer

A step before an offer. The person invites others to make offers, and keeps the right to accept or refuse them.

Acceptance of it makes no contract

1. An offer needs intention to be bound once the other party accepts
2. Goods with price tags, price lists, catalogues and tender notices are invitations
3. At an auction, the announcement invites; the bid is the offer, accepted by fall of hammer
4. A general offer (reward advertisement) is a real offer, accepted by performing the condition



Swipe for the summary →

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Offer vs Invitation

Offer vs Invitation to Offer

spot the difference fast

Point	Offer	Invitation to offer
Intention	To be bound on acceptance	To invite offers from others
Acceptance gives	A binding contract	No contract; only an offer follows
Examples	Auction bid; reward advertisement	Price tag, catalogue, tender notice
Case law	Carlill v. Carbolic Smoke Ball Co.	Pharmaceutical Society v. Boots
Who makes offer	Seller or buyer	Customer or bidder makes it

DISPLAY INVITES, CUSTOMER OFFERS! In a shop, the customer offers to buy at the tag price, and the shopkeeper accepts at the counter.

Swipe for a memory trick →

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STUDY TRICK

Offer vs Invitation to Offer

think of a shop window

WINDOW SHOWS, HAND OFFERS

The shop window or catalogue only shows goods (invitation). The customer's hand at the counter makes the offer; the seller's yes is acceptance.

HOW TO ATTEMPT IT

1 Find who speaks first → 2 Ask: intends to be bound on yes? →

3 Match with known invitations → 4 Check for a general offer reward →

5 Name the case and conclude

EXAM TIP

In an MCQ, a price tag, catalogue, tender notice or auction announcement means invitation to offer. A reward advertisement means offer.

DOUBT BUSTER

Is a shopkeeper bound to sell at the displayed price? No. The display is an invitation. The customer's request to buy is the offer, and the shopkeeper may accept or refuse it.

Swipe for common mistakes →

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COMMON MISTAKES

Offer vs Invitation to Offer

don't fall for the price tag

✗ Price tag on goods is an offer, so shop must sell

✓ A price tag is an invitation to offer. The customer makes the offer.

✗ Tender notice is an offer; bidder accepts it

✓ The notice invites tenders. The tender submitted is the offer.

✗ Auctioneer's announcement is the offer

✓ The announcement is an invitation. The bid is the offer.

✗ Reward advertisement is only an invitation

✓ It is a general offer, accepted by performing the condition (Carlill case).

TOMORROW'S CA INTER MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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